Razorpay Embedded Finance x Urban Company Providers

Executive Report

Generated: 2026-05-24 16:34 | Data coverage: 2026-05

Metric	Value
Providers	1,000
High Risk Share	11.1%
Retention Rate	80.4%
Churn-Adjusted Growth	-25.4%
Active-Provider Growth	-8.6%
Survey Respondents	30

Executive Summary

- High-risk providers represent 11.1% of scored provider-month records, with average default probability at 41.1%.

- Churn-adjusted provider growth is -25.4%, while active-provider growth is -8.6% and retention is 80.4%.

- Primary research shows 100.0% of respondents report strong settlement-delay pain, while 86.7% report a need for business credit.

- The default model is the strongest production risk signal with ROC AUC 0.71; other models should be interpreted as decision support, not automated decisions.

- Prediction outputs show average churn probability at 31.0% and average adoption propensity at 48.0%.

Risk Summary

- High risk share: 11.1%

- Medium risk share: 59.2%

- Average default probability: 41.1%

- Observed synthetic default rate: 0.6%

- Recommended action: prioritize working-capital support and settlement monitoring for high-risk providers.

Prediction Summary

- Predicted default class share: 15.3%

- Average churn probability: 31.0%

- Predicted churn class share: 16.9%

- Average embedded-finance adoption probability: 48.0%

- Predicted adoption class share: 75.6%

- Interpretation: predictions support provider segmentation across risk, retention, and adoption propensity.

Growth And Retention

- Churn-adjusted growth: -25.4%

- Growth among active providers: -8.6%

- Retained-provider growth: -8.5%

- Median provider growth: -14.7%

- Average monthly profit: Rs 14,612
- Average technology adoption score: 0.79
- Retention rate: 80.4%
- Interpretation: embedded finance and digital adoption appear more strongly associated with operational resilience, retention, liquidity stability, and profit continuity than direct income expansion.
- Growth appears constrained by churn and provider inactivity rather than technology failure.

Model Metrics

- Default model ROC AUC: 0.71
- Churn model ROC AUC: 0.97
- Adoption model ROC AUC: 0.96
- Income growth model R2: 0.82
- Governance note: use leakage-safe t+1 features and monitor class imbalance before operational deployment.

Primary Findings

- Survey respondents: 30
- Digital adoption score: 0.64
- Strong settlement-delay pain: 100.0%
- Need business credit: 86.7%
- AI tool usage: 60.0%
- Dissertation use: primary responses validate the direction of settlement, credit, and digital-readiness assumptions.

Recommendations

- Prioritize high-risk providers for working-capital review, repayment nudges, and payout-delay monitoring.
- Use churn risk with retention outreach, faster settlement support, and repeat-customer enablement.
- Target low-adoption providers with digital-readiness training, UPI/payment workflow support, and simple embedded-finance education.
- Use model outputs as decision support with human review, especially where credit access or default classification affects providers.
- Primary research indicates settlement delay is a major pain point; make settlement transparency a priority intervention.
- Credit need is material in the survey sample; design responsible small-ticket credit with clear repayment terms.

Conclusion

The combined synthetic operational data, leakage-safe ML outputs, and primary survey evidence support a dissertation narrative in which embedded finance appears to support liquidity and retention before measurable income expansion. Technology adoption improves operational resilience and retention; income expansion remains conditional on churn control, provider activity, settlement speed, and category economics.